FMO

Balance Sheet

BALANCE SHEET EXERCISE

Use the following scenario cards to fill out the Balance Sheet worksheet.

You have $1250 in your checking account.	You have $1750 in your revolving savings account.	You purchased a computer last summer and it is valued at $500.	You received a graduation gift of a watch and it is valued at $300.
You purchased new furniture for your apartment. It is valued at $1,000, but you still owe $400.	Your car is valued at $5,000, but you still owe $1,500.	You owe $300 on a credit card.	You have put $1,000 into a Roth IRA.
You participate in your employer's 401k program. You have saved $5,000.	You need a root canal procedure at your dentist office. You owe $400.	You just cashed your income tax refund of $1,000.	You purchased a flat-screen TV that is valued at $500.
You have $75 in cash.	You have a student loan balance of $20,000.	You purchase a condo for $60,000 and you owe $45,000.	You and your best friend move into your new condo. They pay you $450 a month in rent.

Balance Sheet

BALANCE SHEET WORKSHEET

Complete the balance sheet worksheet with the information from the orange scenario cards.

Assets	$	Liabilities	$
Monetary Assets		**Short-term Liabilities**	
Savings account		Credit card	
Checking account		Medical debt	
Cash			
Other			
Total Monetary Assets		**Total Short-term Liabilities**	
Tangible Assets		**Long-term Liabilities**	
Computer		Automobile loan	
Jewelry		Home mortgage	
Furniture		Furniture loan	
Automobile		Student loan	
Television			
Home			
Total Tangible Assets		**Total Long-term Liabilities**	
Investment Assets			
Roth IRA			
401K Retirement Account			
Total Investment Assets			
Total Assets		**Total Liabilities**	
Assets			
Liabilities			
Net Worth			

Balance Sheet

This chart shows the answers for the worksheet associated with the orange cards.

Assets	$	Liabilities	$
Monetary Assets		**Short-term Liabilities**	
Savings account	$1,750	Credit card	$300
Checking account	$1,250	Medical debt	$400
Cash	$1,000 + $75 = $1,075		
Other	$450		
Total Monetary Assets	$4,525	**Total Short-term Liabilities**	$700
Tangible Assets		**Long-term Liabilities**	
Computer	$500	Automobile loan	$1,500
Jewelry	$300	Home mortgage	$45,000
Furniture	$1,000	Furniture loan	$400
Automobile	$5,000	Student loan	$20,000
Television	$500		
Home	$60,000		
Total Tangible Assets	$67,300	**Total Long-term Liabilities**	$66,900
Investment Assets			
Roth IRA	$1,000		
401K Retirement Account	$5,000		
Total Investment Assets	$6,000		
Total Assets	$77,825	**Total Liabilities**	$67,600
Assets	$77,825		
Liabilities	$67,600		
Net Worth	$10,225		

Project Case

Finbolt Company is a retail business that sells consumer electronics. As a financial analyst, you've been tasked with analysing Finbolt 's balance sheet to evaluate its financial position and provide recommendations for improvement.

1. What is the total value of current and non current assets ?

2. What is total liability of Finbolt Corporation ?

3. Any recommendation for them to improve financial performance ?

Project Case

Company Data -Finbolt company has got cash and equivalents worth of $50,000 .The retail warehouse has inventory worth of $80,000 . The property, plants and commercial equipment has really grown this year amounting to $200,000. Recently Finbolt has conducted an assessment and got a depreciation value of $50,000 as the outcome of the study.

The account receivable is $30,000. They have common stock of around $ 50000. As they performed well last year they have retained earning of $105,000. They have short term debt of $20,000 and are expecting accounts payable from vendors to the amount of $40,000. They have taken a long term loan from bank of $100,000.

Balance Sheet

Assets:

Current Assets:

Cash and Cash Equivalents: $50,000

Accounts Receivable: $30,000

Inventory: $80,000

Total Current Assets: $160,000

Non-Current Assets:

Property, Plant, and Equipment: $200,000

Accumulated Depreciation: ($50,000)

Total Non-Current Assets: $150,000

Total Assets: $310,000

Balance Sheet

Liabilities and Equity:

Current Liabilities:

Accounts Payable:	$40,000
Short-Term Debt:	$20,000
Total Current Liabilities:	**$60,000**

Non-Current Liabilities:

Long-Term Debt:	$100,000
Total Non-Current Liabilities:	**$100,000**

Total Liabilities and Equity: **$315,000**

Equity:

Common Stock:	$50,000
Retained Earnings:	$105,000
Total Equity:	**$155,000**

Income Statement $ in actual figures	2021E	2022E	2023E	2024E	2025E
Revenue					
Gross Revenue	15,000	20,000	25,000	30,000	35,000
Discounts	(1,500)	(2,000)	(2,500)	(3,000)	(3,500)
Net Revenue	**13,500**	**18,000**	**22,500**	**27,000**	**31,500**
Cost of Goods Sold (COGS)					
Raw Materials	(3,750)	(5,000)	(6,250)	(7,500)	(8,750)
Fulfillment	(1,500)	(2,000)	(2,500)	(3,000)	(3,500)
Transaction Fees	(300)	(400)	(500)	(600)	(700)
Total COGS	(5,550)	(7,400)	(9,250)	(11,100)	(12,950)
Gross Profit	**7,950**	**10,600**	**13,250**	**15,900**	**18,550**
Operating Expenses					
Labor	(3,000)	(4,000)	(5,000)	(6,000)	(7,000)
Marketing	(1,500)	(2,000)	(2,500)	(3,000)	(3,500)
SGA & Other	(750)	(1,000)	(1,250)	(1,500)	(1,750)
Total OpEx	(5,250)	(7,000)	(8,750)	(10,500)	(12,250)
EBITDA	**2,700**	**3,600**	**4,500**	**5,400**	**6,300**
Depreciation & Amortization	(4,690)	(4,690)	(4,690)	(4,690)	(2,690)
EBIT	**(1,990)**	**(1,090)**	**(190)**	**710**	**3,610**
Interest Expense	(652)	(624)	(928)	(872)	(816)
EBT	**(2,642)**	**(1,714)**	**(1,118)**	**(162)**	**2,794**
Taxes	396	257	168	24	(419)
Net Income	**(2,246)**	**(1,457)**	**(951)**	**(138)**	**2,374**

Balance Sheet $ in actual figures	Dec-20A	Dec-21E	Dec-22E	Dec-23E	Dec-24E	Dec-25E
Current Assets						
Cash	4,000	(4,979)	(2,086)	2,462	6,324	7,698
Accounts Receivable	500	675	900	1,125	1,350	1,575
Total Current Assets	**4,500**	**(4,304)**	**(1,186)**	**3,587**	**7,674**	**9,273**
Non Current Assets						
Fixed Assets	10,000	21,000	21,000	24,000	24,000	27,000
Accumulated Depreciation	(2,000)	(6,690)	(11,381)	(16,071)	(20,762)	(23,452)
Total Non Current Assets	**8,000**	**14,310**	**9,619**	**7,929**	**3,238**	**3,548**
Total Assets	**12,500**	**10,006**	**8,433**	**11,516**	**10,912**	**12,820**
Current Liabilities						
Accounts Payable	450	500	666	833	999	1,166
Deferred Revenue	150	203	270	338	405	473
Total Current Liabilities	**600**	**702**	**936**	**1,170**	**1,404**	**1,638**
Non Current Liabilities						
Debt	8,500	8,150	7,800	11,600	10,900	10,200
Total Non Current Liabilities	**8,500**	**8,150**	**7,800**	**11,600**	**10,900**	**10,200**
Total Liabilities	**9,100**	**8,852**	**8,736**	**12,770**	**12,304**	**11,838**
Equity						
Common Stock	400	400	400	400	400	400
Retained Earnings	3,000	**754**	**(703)**	**(1,654)**	**(1,792)**	**582**
Total Equity	3,400	1,154	(303)	(1,254)	(1,392)	982
Total Liabilities & Equity	**12,500**	**10,006**	**8,433**	**11,516**	**10,912**	**12,820**

Cash Flow Statement $ in actual figures	2021E	2022E	2023E	2024E	2025E
Net Income	(2,246)	(1,457)	(951)	(138)	2,374
Operating Activities					
Depreciation	4,690	4,690	4,690	4,690	2,690
Change in Accounts Receivable	(175)	(225)	(225)	(225)	(225)
Change in Accounts Payable	50	167	167	167	167
Change in Deferred Revenue	53	68	68	68	68
Operating Cash Flow	**2,371**	**3,242**	**3,749**	**4,561**	**5,074**
Investing Activities					
CapEx	(11,000)	0	(3,000)	0	(3,000)
Investing Cash Flow	**(11,000)**	**0**	**(3,000)**	**0**	**(3,000)**
Financing Activities					
Debt Repayment	(350)	(350)	(700)	(700)	(700)
Net Borrowings	0	0	4,500	0	0
Financing Cash Flow	**(350)**	**(350)**	**3,800**	**(700)**	**(700)**
Net Cash Flow	(8,979)	2,892	4,549	3,861	1,374
Beginning Cash Balance	4,000	(4,979)	(2,086)	2,462	6,324
Ending Cash Balance	**(4,979)**	**(2,086)**	**2,462**	**6,324**	**7,698**

Income Statement $ in actual figures	2021E	2022E	2023E	2024E	2025E
Revenue					
Gross Revenue	15,000	20,000	25,000	30,000	35,000
Discounts	(1,500)	(2,000)	(2,500)	(3,000)	(3,500)
Net Revenue	**13,500**	**18,000**	**22,500**	**27,000**	**31,500**
Cost of Goods Sold (COGS)					
Raw Materials	(3,750)	(5,000)	(6,250)	(7,500)	(8,750)
Fulfillment	(1,500)	(2,000)	(2,500)	(3,000)	(3,500)
Transaction Fees	(300)	(400)	(500)	(600)	(700)
Total COGS	(5,550)	(7,400)	(9,250)	(11,100)	(12,950)
Gross Profit	**7,950**	**10,600**	**13,250**	**15,900**	**18,550**
Operating Expenses					
Labor	(3,000)	(4,000)	(5,000)	(6,000)	(7,000)
Marketing	(1,500)	(2,000)	(2,500)	(3,000)	(3,500)
SGA & Other	(750)	(1,000)	(1,250)	(1,500)	(1,750)
Total OpEx	(5,250)	(7,000)	(8,750)	(10,500)	(12,250)
EBITDA	**2,700**	**3,600**	**4,500**	**5,400**	**6,300**
Depreciation & Amortization	(4,690)	(4,690)	(4,690)	(4,690)	(2,690)
EBIT	**(1,990)**	**(1,090)**	**(190)**	**710**	**3,610**
Interest Expense	(652)	(624)	(928)	(872)	(816)
EBT	**(2,642)**	**(1,714)**	**(1,118)**	**(162)**	**2,794**
Taxes	396	257	168	24	(419)
Net Income	**(2,246)**	**(1,457)**	**(951)**	**(138)**	**2,374**

Assumptions:					
Revenue					
Cups Sold	3000	4000	5000	6000	7000
Average Price per Cup	$ 5.00	$ 5.00	$ 5.00	$ 5.00	$ 5.00
Discounts (as a % of rev)	10%	10%	10%	10%	10%
Cost of Goods Sold (COGS)					
Raw Materials (as a % of rev)	25%	25%	25%	25%	25%
Fulfillment (as a % of rev)	10%	10%	10%	10%	10%
Transaction Fees (as a % of rev)	2%	2%	2%	2%	2%
Operating Expenses					
Labor (as a % of rev)	20%	20%	20%	20%	20%
Marketing (as a % of rev)	10%	10%	10%	10%	10%
SGA & Other (as a % of rev)	5%	5%	5%	5%	5%
Corporate Tax Rate	15%	15%	15%	15%	15%

Balance Sheet $ in actual figures	Dec-20A	Dec-21E	Dec-22E	Dec-23E	Dec-24E	Dec-25E
Current Assets						
Cash	4,000	(4,979)	(2,086)	2,462	6,324	7,698
Accounts Receivable	500	675	900	1,125	1,350	1,575
Total Current Assets	**4,500**	**(4,304)**	**(1,186)**	**3,587**	**7,674**	**9,273**
Non Current Assets						
Fixed Assets	10,000	21,000	21,000	24,000	24,000	27,000
Accumulated Depreciation	(2,000)	(6,690)	(11,381)	(16,071)	(20,762)	(23,452)
Total Non Current Assets	**8,000**	**14,310**	**9,619**	**7,929**	**3,238**	**3,548**
Total Assets	**12,500**	**10,006**	**8,433**	**11,516**	**10,912**	**12,820**
Current Liabilities						
Accounts Payable	450	500	666	833	999	1,166
Deferred Revenue	150	203	270	338	405	473
Total Current Liabilities	**600**	**702**	**936**	**1,170**	**1,404**	**1,638**
Non Current Liabilities						
Debt	8,500	8,150	7,800	11,600	10,900	10,200
Total Non Current Liabilities	**8,500**	**8,150**	**7,800**	**11,600**	**10,900**	**10,200**
Total Liabilities	**9,100**	**8,852**	**8,736**	**12,770**	**12,304**	**11,838**
Equity						
Common Stock	400	400	400	400	400	400
Retained Earnings	3,000	**754**	**(703)**	**(1,654)**	**(1,792)**	**582**
Total Equity	3,400	1,154	(303)	(1,254)	(1,392)	982
Total Liabilities & Equity	**12,500**	**10,006**	**8,433**	**11,516**	**10,912**	**12,820**

Fixed Assets $ in actual figures	Asset Life (Years)	2021E	2022E	2023E	2024E	2025E
CapEx						
Lemon Crusher	2	3,000		3,000		3,000
Ice Machine	6	2,000				
Refrigerator	7	6,000				
Total CapEx		**11,000**	**0**	**3,000**	**0**	**3,000**
Depreciation						
Existing Equipment		2,000	2,000	2,000	2,000	
Lemon Crusher		1,500	1,500	1,500	1,500	1,500
Ice Machine		333	333	333	333	333
Refrigerator		857	857	857	857	857
Total D&A		**4,690**	**4,690**	**4,690**	**4,690**	**2,690**

Cash Flow Statement $ in actual figures	2021E	2022E	2023E	2024E	2025E
Net Income	(2,246)	(1,457)	(951)	(138)	2,374
Operating Activities					
Depreciation	4,690	4,690	4,690	4,690	2,690
Change in Accounts Receivable	(175)	(225)	(225)	(225)	(225)
Change in Accounts Payable	50	167	167	167	167
Change in Deferred Revenue	53	68	68	68	68
Operating Cash Flow	**2,371**	**3,242**	**3,749**	**4,561**	**5,074**
Investing Activities					
CapEx	(11,000)	0	(3,000)	0	(3,000)
Investing Cash Flow	**(11,000)**	**0**	**(3,000)**	**0**	**(3,000)**
Financing Activities					
Debt Repayment	(350)	(350)	(700)	(700)	(700)
Net Borrowings	0	0	4,500	0	0
Financing Cash Flow	**(350)**	**(350)**	**3,800**	**(700)**	**(700)**
Net Cash Flow	(8,979)	2,892	4,549	3,861	1,374
Beginning Cash Balance	4,000	(4,979)	(2,086)	2,462	6,324
Ending Cash Balance	**(4,979)**	**(2,086)**	**2,462**	**6,324**	**7,698**

Assumptions:						
Net Revenue	$ 10,000	$ 13,500	$ 18,000	$ 22,500	$ 27,000	$ 31,500
COGS	$ 5,000	$ 5,550	$ 7,400	$ 9,250	$ 11,100	$ 12,950
Accounts Receivable (as a % of rev)	5%	5%	5%	5%	5%	5%
Accounts Payable (as a % of COGS)	9%	9%	9%	9%	9%	9%
Deferred Revenue (as a % of rev)	2%	2%	2%	2%	2%	2%
Debt						
Net Borrowing			$ 4,500			
Debt Repayment	$ 350	$ 350	$ 700	$ 700	$ 700	
Interest Rate	8%	8%	8%	8%	8%	
Interest Payment	$ 652	$ 624	$ 928	$ 872	$ 816	

Quiz

Which financial statement shows a company's revenues, expenses, and net income or loss over a specific period of time?

A) Balance Sheet
B) Income Statement
C) Statement of Cash Flows
D) Statement of Retained Earnings

Quiz

Which financial statement shows a company's revenues, expenses, and net income or loss over a specific period of time?

B) Income Statement

Quiz

Which of the following items is typically found on a balance sheet?

A) Revenue
B) Net Income
C) Accounts Payable
D) Cost of Goods Sold

Quiz

Which of the following items is typically found on a balance sheet?

C) Accounts Payable

Quiz

Which of the following is an example of a non-current liability on a balance sheet?

A) Accounts Payable
B) Notes Payable (due within one year)
C) Long-Term Debt
D) Accrued Expenses

Quiz

Which of the following is an example of a non-current liability on a balance sheet?

C) Long-Term Debt

Quiz

Which financial statement is often referred to as a "snapshot" of a company's financial position at a specific point in time?

A) Income Statement
B) Statement of Cash Flows
C) Statement of Changes in Equity
D) Balance Sheet

Quiz

Which financial statement is often referred to as a "snapshot" of a company's financial position at a specific point in time?

D) Balance Sheet

Quiz

Out of the following options, which is the most suitable with regards to the balance sheet

A. Liabilities = Assets + Shareholders Equity
B. Shareholders Equity = Assets + Liabilities
C. Assets = Shareholders Equity + Liabilities
D. Assets = Shareholders Equity – Liabilities

Quiz

Out of the following options, which is the most suitable with regards to the balance sheet

C. Assets = Shareholders Equity + Liabilities

Quiz

Out of the following four options what can be the most suitable key feature with regards to the balance sheet

A. The balance sheet can help in showing the expenses as well as revenues of the business
B. The balance sheet helps in showing the business's financial position and it has three crucial sections such as liabilities, assets and shareholder's equity
C. The balance sheet helps in showing the decrease as well as an increase in cash
D. The balance sheet helps in assessing the profitability

Quiz

Out of the following four options what can be the most suitable key feature with regards to the balance sheet

B. The balance sheet helps in showing the business's financial position and it has three crucial sections such as liabilities, assets and shareholder's equity

Financial statements Analysis & Ratio Analysis

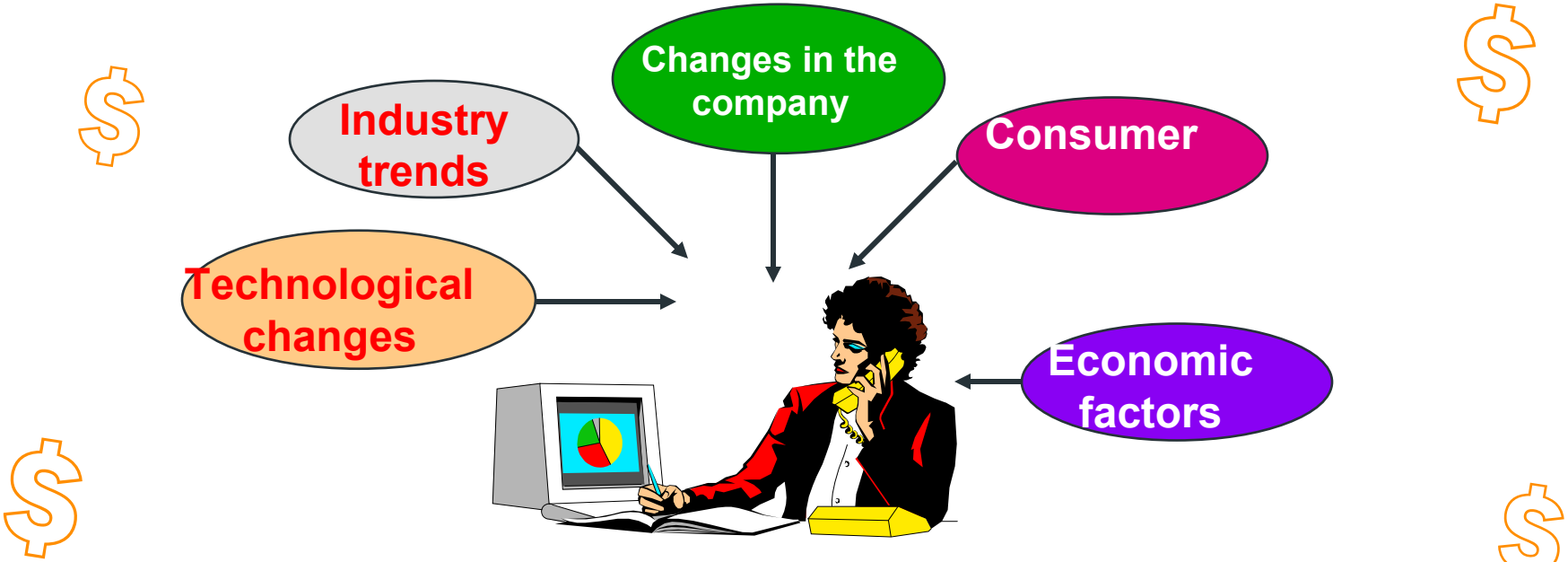
Limitations of Financial Statement Analysis

Differences in accounting methods between companies sometimes make comparisons difficult.

We use the LIFO method to value inventory.

We use the average cost method to value inventory.

Limitations of Financial Statement Analysis



Analysts should look beyond the ratios.

Statements in Comparative and Common-Size Form

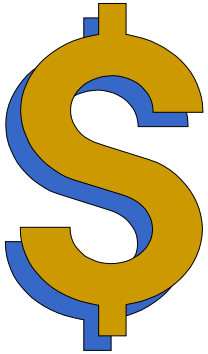
An item on a financial statement has little meaning by itself.

The meaning of the numbers can be enhanced by drawing comparisons.

1. Dollar and percentage changes on statements
2. Common-size statements
3. Ratios

Dollar and Percentage Changes on Statements

Horizontal analysis (or trend analysis) shows the changes between years in the financial data in both **dollar and percentage** form.



Dollar and Percentage Changes on Statements

Horizontal analysis (or trend analysis) shows the changes between years in the financial data in both dollar and percentage form.

Horizontal Analysis

- Horizontal analysis (also known as **trend analysis**) involves analyzing financial data **over time**.
- Quantifying **dollar changes** over time serves to highlight the changes that are the most important **economically**.
- Quantifying **percentage changes** over time serves to highlight the changes that are the most **unusual**.

Horizontal Analysis

DOVER CORPORATION
Comparative Balance Sheets
December 31

			Increase (Decrease)	
	2022	2023	Amount	%
Assets				
Current assets:				
Cash	$ 12,000	$ 23,500		
Accounts receivable, net	60,000	40,000		
Inventory	80,000	1,00,000		
Prepaid expenses	3,000	1,200		
Total current assets	1,55,000	1,64,700		
Property and equipment:				
Land	40,000	40,000		
Buildings and equipment, net	1,20,000	85,000		
Total property and equipment	1,60,000	1,25,000		
Total assets	$ 3,15,000	$ 2,89,700		

Horizontal Analysis

Calculating Change in Dollar Amounts

The dollar change in account balances is calculated as the current year figure minus the base year figure. The dollar amounts for 2022 become the “base” year figures.

Dollar Change = **Current Year Figure** – **Base Year Figure**

The dollar amounts for 2022 become the “base” year figures.

Horizontal Analysis

Calculating Change as a Percentage

$$\text{Percentage Change} = \frac{\text{Dollar Change}}{\text{Base Year Figure}} \times 100\%$$

The percentage change in account balances is calculated as dollar change divided by the base year figure times one hundred percent.

Horizontal Analysis

DOVER CORPORATION
Comparative Balance Sheets
December 31

			Increase (Decrease)	
	2023	2022	Amount	%
Assets				
Current assets:				
Cash	$ 12,000	$ 23,500	$ (11,500)	(48.9)
Accounts receivable, net	60,000	40,000		
Inventory	80,000	1,00,000		
Prepaid expenses	3,000	1,200		
Total current assets	1,55,000	1,64,700		
Property and equipment:				
Land				
Buildings and equipment, net	1,20,000	85,000		
Total property and equipment	[illegible]	[illegible]		
Total assets				

$12,000 – $23,500 = $(11,500)

($11,500 ÷ $23,500) × 100% = 48.9%

Horizontal Analysis

DOVER CORPORATION
Comparative Balance Sheets
December 31

			Increase (Decrease)	
	2023	2022	Amount	%
Assets				
Current assets:				
Cash	$ 12,000	$ 23,500	$ (11,500)	(48.9)
Accounts receivable, net	60,000	40,000	20,000	50.0
Inventory	80,000	1,00,000	(20,000)	(20.0)
Prepaid expenses	3,000	1,200	1,800	150.0
Total current assets	1,55,000	1,64,700	(9,700)	(5.9)
Property and equipment:				
Land	40,000	40,000	-	0.0
Buildings and equipment, net	1,20,000	85,000	35,000	41.2
Total property and equipment	1,60,000	1,25,000	35,000	28.0
Total assets	$ 3,15,000	$ 2,89,700	$ 25,300	8.7

Horizontal Analysis